

are an outcome of robust demand for air travel and diligent execution of our strategy,” IndiGo CEO Pieter Elbers said in an earnings call in February. According to analysts, with nearly 70 aircraft grounded and rising passenger demand, IndiGo benefitted from better realisation during the period. “The supply chain issues started around 18 months ago... Our early actions enabled us to navigate the situation in a desired manner and helped us grow capacity in each and every quarter,” Elbers told investors.

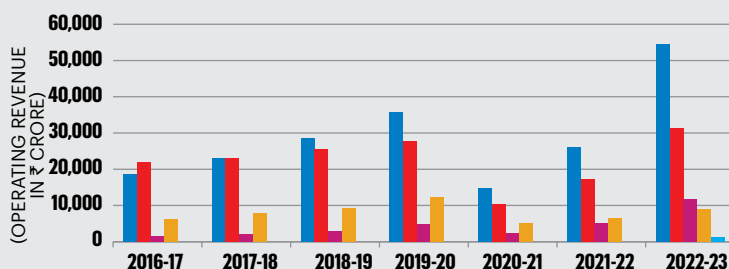
Experts are not surprised that most of the airlines are in the red, as the operating model and environment make them susceptible to financial losses. According to Anil Radhakrishnan, research analyst at Geojit Financial Services, India is highly dependent on imported aviation turbine fuel (ATF), which alone accounts for 40-55% of airlines’ total expenses. Add to it additional expenses like rentals, aircraft repair and maintenance, and airport fees and charges, and these together make up 65-80% of airlines’ total expenses. With ATF prices being controlled internationally, cost escalations are not under any operator’s control. Moreover, depreciation of the rupee against the US dollar impacts their cost structure, says Radhakrishnan. Rishi Agarwal, CEO of Team-Lease RegTech that offers regulatory compliance solutions, points towards the disparity between inflation and rise in airfares over the past one and half decades. Despite costs going up due to an increase in salaries and ATF prices, airfare growth has lagged in India. “Thus, airlines are constantly attempting to reduce costs. Today, an aircraft is idle only during the early hours and pilots are not getting enough rest as that would mean ‘lower utilisation

PLANE PAIN



GAINING ALTITUDE

• The top three players have rebounded after Covid-19 by growing sales quickly • SpiceJet failed to reach the pre-Covid level of sales even in FY23

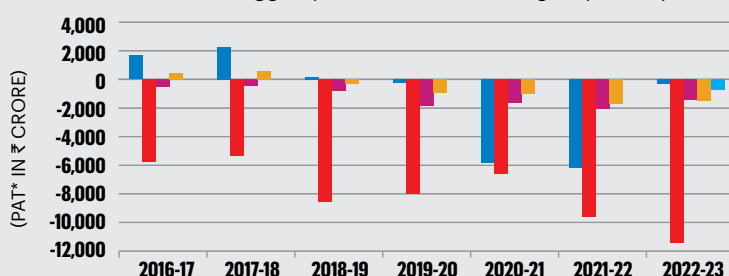


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*2022-23 IS AKASA'S FIRST FULL YEAR OF OPERATIONS SOURCE DGCA

RED ALERT

• Leading airlines have been experiencing losses for several years • Air India's financial struggles persist, even after being acquired by Tata



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*AFTER EXTRAORDINARY ITEMS SOURCE DGCA